
2. Turn it down

Your water heater maintains its temperature 24 hours a day, 7 days a week. That takes a lot of energy. According to the U.S. Department of Energy (Energy.gov), for every 10°F you turn down on your water heater, you save 3%–5% in water heating costs. As long as you are reducing your use with the tips above, you won't even notice. Make sure to consult your manual for proper instructions on adjusting the thermostat. For example, the electricity should be turned off before adjusting electric water heaters.

3. Turn it off

If you're going off on vacation, turn the temperature way down, or completely off. When you get home, you'll just need to wait about an hour to re-heat before the hot water gets back in service. If you have a gas heater, make sure you know how to relight the pilot light before turning it off (or just turn it down without completely turning it off).

4. Insulate

Adding insulation is inexpensive and can reduce standby heat losses by 25%–45%, saving you 7% to 16% annually in water heating costs.

Check to see if your water tank has insulation with an R-value of at least 24 (if your water heater is less than 10 years old, it's likely it's already optimally insulated). You can also do a touch test—if it's warm to the touch, it needs additional insulation. Make sure to check your manual for insulation instructions.

5. Set a timer

Again, a lot of energy is used to keep the water hot 24 hours a day. And really, you only need it a few times a day. If you have an electric water heater, a timer can be installed to turn it off during off-peak hours (at night after you go to bed). For gas heaters, you can keep it turned down most of the time, and then manually turn it up about a half-hour before you need it. Timers cost about \$60 and should pay for themselves in about a year.

6. Reuse

Hot water that goes down the drain carries away energy with it. That can be 80%–90% of the energy used to heat water in a home. Drain-water (or graywater) heat recovery systems capture this energy to preheat cold water entering the water heater or going to other water fixtures. Heat can be recovered from hot water used in show-